

The Social Radars

Yin Wu, Co-Founder of Pulley

Released June 5, 2024

Jessica: [\(00:00:00\)](#) I'm Jessica Livingston, and Carolynn Levy and I are the Social Radars. In this podcast, we talk to some of the most successful founders in Silicon Valley about how they did it. Carolynn and I have been working together to help thousands of startups at Y Combinator for almost twenty years. Come be a fly on the wall as we talk to founders and learn their true stories. Today, we have a very exciting guest.

We have Yin Wu on the show with us. She is the founder and CEO of Pulley, which went through Y Combinator in winter twenty. Welcome, Yin. Welcome.

Yin: [\(00:00:42\)](#) So excited to be here.

Jessica: [\(00:00:44\)](#) So glad to see you. Yin has been through Y Combinator three different times starting in summer twenty eleven, but I actually met her much earlier than that. Back in 2010, we had been doing startup school with, BASES as the cohost at Stanford, which is the business association of Stanford entrepreneurial studies. A big challenge with startup school was actually getting the auditorium reserve. Yeah.

Do you agree with that, Yin?

Yin: [\(00:01:18\)](#) I remember this. I think I wrote about it in my application when I applied to YC, and it gave me a heart attack, Jessica.

Jessica: [\(00:01:25\)](#) Indulge me for a quick second because with startup school, something went wrong every single year. And I remember which year it was by what went wrong. So 2010 startup school, we had Mark Zuckerberg, Reid Hoffman, Ron Conway, Andy Bechtelshan, Andrew Mason. What a lineup. Yeah.

An amazing lineup. So I arrived that morning of the event, and the lobby of the auditorium is just an explosion practically had gone off of dirty party cups, popped balloons, and streamers. There was clearly some massive party there that had not been cleaned up. And all of the bins were, like, overflowing with trash, food all over the floor. It was disgusting.

So I and even disgusting for Y Combinator standards, I might add. So we were frantically trying to pick them up and get everything set up. So I thought that that was the disaster of the day, but, boy, was I wrong. Now, Yin, you tell the real story, which I did not know about.

The Social Radars

Yin Wu, Co-Founder of Pulley

Released June 5, 2024

Yin:
[\(00:02:32\)](#) I actually did not know that that was what you thought that was a disaster because in my mind, I was like, what a giant release that the context was that we had been working on planning for startup school, I wanna say for months now. And we were expecting, I wanna say, hundreds, if not at least a thousand folks that were going to show up. And Stanford, for whatever reason, for any event that a external party wanted to be able to host, you needed a partner with a student group to do that. So that's how I think we initially connected with YC and with BASIS. And getting the auditoriums was such a challenging event.

I wanna say this was, the other class that I needed to take during that quarter to be able to get the auditorium. On our end, the challenge was that we would go to and knock on, like, all of these different doors and be like, hey. You know, we just wanna make sure that the auditorium is confirmed. Some folks would tell us yes. Other folks would say, like, no.

No. No. You it's not. And then we didn't get confirmation, Jessica, until I think literally the night before the event was supposed to start because I think that they were hosting another event, and they wanted to confirm they could do startup school. So in my mind, extreme naivety at the time, I was thinking, you know what?

I'll protect Jessica from this mess. I'm just gonna run with it. Worst case, I can just sleep in the auditorium, and I'll just open the doors the next day, not even thinking about, is this gonna be a major fire hazard? You can't just throw a bin and have people show up. Luckily, I think it ended up working out okay, but, yeah, it was, it was a little bit nerve wracking at the time.

Carolynn:
[\(00:04:10\)](#) Well, wait. So did you sleep in the auditorium? Did you end up sleeping there?

Yin:
[\(00:04:14\)](#) I didn't. I didn't need to sleep there.

Carolynn:
[\(00:04:16\)](#) Okay.

Yin:
[\(00:04:16\)](#) Luckily, that was the case, but that was, in my mind, the backup plan for

Carolynn:
[\(00:04:20\)](#) But you would have been you would have been at the party that happened the night before. I guess if you slept there, that would have been a party you attended.

The Social Radars

Yin Wu, Co-Founder of Pulley

Released June 5, 2024

Yin: [\(00:04:26\)](#) If I had been there, I would have I would have been aware of the party that was, at startup school.

Jessica: [\(00:04:32\)](#) Hold on, though. The best part of this story first of all, I am glad, actually, in hindsight that you hid it from me. My nickname at Y Combinator was panic. And if I had known that we had 800 people arriving at 8AM the next morning and all these speakers lined up and we did not have the event space, I would have had a freaking heart attack.

Yin: [\(00:04:53\)](#) Rightfully so. Rightfully so. Yeah.

Jessica: [\(00:04:56\)](#) I thought it was this someone like, the AV guy had injured himself falling off a ladder or something, and they wouldn't let you have the event. Tell that story.

Yin: [\(00:05:07\)](#) They were looking for a backup for the AV person because I think it was a combination of not being sure that we could get the room because there was an event the night before. Could they do all the setup needed for something like YC? And the main AV person that's typically in charge of hosting this event was, like, out on injury leave. So it's this confluence of different events that ended up stacking up. And I was telling the AV guys, like, what do you need?

Like, I can get a ladder. I can do any of this setup in order to just find a way to be able to make that happen.

Jessica: [\(00:05:36\)](#) But I'm sorry to keep pressing you, but I've read this. Because, Carolyn, she put it in her application for YC, the story. And part of it was that weren't you calling, like, every non Stanford employee who had ever worked AV at Stanford to find avail availability?

Yin: [\(00:05:55\)](#) I think you remember this story almost better than I did. The I was trying to find another AV company that could do it so I could go to Stanford and say, look. I've solved your problem. You can't, like, tell me no when here's another AV person. But, obviously, Stanford has so many rules around, like, who can do AV within the company, so I don't know if that was effective.

And it ended up being that I think his name was Troy. Troy was the savior.

Jessica: [\(00:06:20\)](#) Sounds familiar, actually. Troy. Wait. So he came in

Carolynn: [\(00:06:23\)](#) From injury leave to do the event?

The Social Radars

Yin Wu, Co-Founder of Pulley

Released June 5, 2024

Yin:
[\(00:06:24\)](#) So he usually has a second person. So, the second person, I think, was out. So Troy ended up manning the whole event, which is a lot for one AV person for 800 people, making sure the, the event went well. Troy is from the MVP.

Carolynn:
[\(00:06:40\)](#) You know what I keep thinking is hearing this story. I'm like, if this is a school full of entrepreneurs, why has nobody built software to solve the problem of booking these halls and getting the right people? Like, this just seems like a solvable problem. Right? Like

Yin:
[\(00:06:54\)](#) You would think. I think this. I would imagine now it's what? Oh my gosh. Dating myself, like, ten years later, that there likely is a better process, or fingers crossed, there's a better process.

Jessica:
[\(00:07:05\)](#) And, also, remember, universities are bureaucratic, Carolynn. Then, well, of course. Someday, when we talk about the last startup school at Memorial Hall at Stanford, then I'll be done, and I'll never bring it up again. I promise. Anyway, so that's how we met.

But I remember I really loved working with you, and we just got to know each other well just because we were doing so much planning on this. So you were you were junior when we did that, but tell us about your journey into starting a startup.

Yin:
[\(00:07:41\)](#) Yeah. Jessica, I think you were a large part of that. So my background is I'm originally from Kentucky and came out to the Bay Area for college. My understanding of what it means to do a startup was you take a loan from a bank and you start a small business, and then the stat is that 90% of small businesses fail. So I thought, why would anyone do this insane endeavor?

Do this the steady route. Become a doctor. Become a lawyer. Something that has a guaranteed paycheck. But when I came out to the Bay Area, there's this energy around it that I think is still hard to replicate anywhere else.

I was talking to a friend the other day, and they said that they were leaving their company. And the first thing that I thought was, congrats. What are you gonna build next? Versus, I think, anywhere else in the world, if you said that, it would be like, oh, man. Are you okay?

Like, can I help you find another job? And recognize that we're in an extremely fortunate position where the default when you leave is, you know what? I'm leaving because I'm ready to go and build something. Mhmm. So coming out to the Bay Area, I think the energy around being a builder was, was so much in being part of BASIS.

The Social Radars

Yin Wu, Co-Founder of Pulley

Released June 5, 2024

Meeting you within, BASIS and organizing startup school together, I think, was a large part of it. I took time off when I was, in college to work at an NGO in Kenya and had maybe a couple semesters left within school. I was thinking about what does I do next. And thinking about, should I go into consulting? Should I go, work at a big tech company?

And I had a conversation with you, and you're like, well, why don't you go and build something? Why don't you go and apply to Y Combinator? And even though I've organized YC with you, the thought of that I could be a star founder within YC wasn't something that I even really considered because it did feel like at the time that burden was so high. You're creating something when nothing existed. Going and raising that money, how do you start when you're a dropout from college?

Jessica:

[\(00:09:34\)](#)

Can I interject one little housekeeping item? I'm really happy that we had conversation and that you found it so helpful, and I helped inspire your journey. Can I just say, if I don't it doesn't sound like I would've encouraged you to drop out one semester shy from Stanford, though? Did I? You didn't say it's after you graduate.

Yin:

[\(00:09:56\)](#)

You probably said after you graduate. Okay. In my mind, the thing that I thought about timing wise was okay. So I feel like one thing that founders do have is that their perception of maybe risk is different than others. For in my mind,

Carolynn:

[\(00:10:09\)](#)

It was

Yin:

[\(00:10:10\)](#)

The case that, great. If I drop out now and it doesn't work, can always go back can always go back and go through the normal recruiting process. And Stanford, I think, is also unique in that it was really easy to drop out. Yeah. I think that filling out the form to drop out was, like, easier than changing my meal plan.

The, the counselor at the time was telling me about, like, here's all the people that dropped out, and here's what they did. It was like, congrats. So, like, going back to that ethos that you have of, like, go and try something. You have a safety net. Like, the safety net was worst case come back, finish out the quarter, go through normal recruiting, and then that's how it would have been.

And I feel like there's a bit of when you do a startup early. I think there's, like, a few advantages that you also have. One is, like, mean, folks often talks about, like, getting to Robin profitable. If you're an undergrad, getting ramen profitable is not that hard. Great.

The Social Radars

Yin Wu, Co-Founder of Pulley

Released June 5, 2024

I

Carolynn:
[\(00:11:01\)](#)

Love Yeah.

Yin:
[\(00:11:02\)](#)

I love ramen. So you can get to ramen profitably, I think, a lot easier when your living costs are just so low. I think the second is that you don't realize how hard it is, so you decide to do it anyways. I think the more that you do something like, there's a curve. It's like, when you first start something, you believe you know everything.

The longer you do it, the real the harder you realize it actually is. So you don't have that disillusionment when you first get started, I think, if you're doing this as one of your first jobs. And then I think the last thing that I've realized, and I do think that being a founder, like, prepares me for other roles is you end up realizing that you have to focus on what matters most, which is building something of value for the users. The skill sets I didn't learn when being a founder was my first job was how do you manage up? How do you, navigate a organization and push, like, a big idea forward with a large group of people.

I think these are actually valuable skill sets. But, like, the thing that you get drilled into when being a founder is your first job is, like, the only thing that matters is if you can build something of value for the users and go and talk to the users, because nothing else matters nearly as much.

Jessica:
[\(00:12:12\)](#)

Yeah. That makes sense. Now, Carolynn, you can disagree with me. Stanford really is a special place for anyone who wants to build a startup. But I feel like the we know a lot of Stanford grads.

And let let's say they have the best way to describe it might be they have an abundance of confidence coming from Stanford. Did that affect you? Did you think, oh, I can do this. This is gonna be easy.

Yin:
[\(00:12:40\)](#)

Yeah. I think it's I mean, for anyone that thinks that'll be easy, I wish I had that confidence to believe that it would be easy. Because I think still to this day, the, the I think the set of things that you're doing, even if you've done it before, the goalposts keep changing. There's a there's a story that I share with a team about. This was by, the founder of Xcite, the OG search engine that maybe we're aware of that the rest of the audience may not be.

It was in founders of work,

The Social Radars

Yin Wu, Co-Founder of Pulley

Released June 5, 2024

Jessica: Joe Krausz.
[\(00:13:12\)](#)

Yin: Yeah. Joe Krausz.
[\(00:13:12\)](#)

Carolynn: Joe Krausz.
[\(00:13:14\)](#)

Yin: Yeah. The And, the story was around how he said that he used to believe that fundraising would solve all of his problems. That great. You raise a seed, and then you raise the a, then you raise the b, then you raise the d. Great.

All of your problems will be solved. But then what he realized is that none of your problems are solved because every time you fundraise, it's like debt for the next round. Now you need to grow into that valuation, and it gets harder. It's like, by analogy, you win other regionals in track and field. Great.

Now you're going to the state. The competition is higher. Now you're going to the nationals. And now you're going to the Olympics, you're literally competing against the best in the world. So if the company that you do continues to grow, then one day, if you're a public company, you're competing against Google and every other com public company in the world.

So I feel like that, I feel like it's really hard to get confidence when you're looking at that next stage, and it feels like it's so hard to be able to get there still.

Carolynn: What were you studying in college or in San at Sanford? Yeah.
[\(00:14:08\)](#)

Yin: Initially, I was premed, and then, I switched, to CS. So I did computer science when I was in college. And, I remember they had, like, great courses to really get you interested in buildings, like games and others. It made, like, I think learning fun.

Carolynn: But you switched to CS, like, before you met Jessica. And so okay. Okay. And what made you switch?

Yin: I switched to CS. I think it wasn't like a sit down and think about, like, all the pros and cons of both sides. I just really enjoyed it. I like building. So I was a nerd in high school, and I would do science fairs.

The Social Radars

Yin Wu, Co-Founder of Pulley

Released June 5, 2024

And I love, like, building that zero to one and being able to create something. And I feel like within, if you're an engineer, I think one of the benefits you have is, like, all you need is a laptop to be able to create something when that didn't exist before, and that felt like a really powerful skill set to have.

Jessica: [\(00:15:07\)](#) Y Combinator picked up on that phenomenon as well before we started it. All you need is a laptop. So in summer eleven, when you went through, I see you're doing, like, disappearing messages, but then that morphed into the laundry service. Is there anything tell us anything interesting about that.

Yin: [\(00:15:27\)](#) We went through so many pivots, first time around. The idea that we applied YC with was in video advertising. So computer vision at the time where you could put an image inside a video and have it look like it's part of the original scene. So we were thinking, wow. You could do this real time product placement for any video.

What we found from that was you could the demo of it was amazing. It was great to look at. And I think at the time, YC used to do voting within your bash of, like, what company do you think will be most successful? And the company that won, they ended up getting acquired by Google when they were building a, a kids YouTube. So I think their product ended up becoming kids YouTube.

And then ours was the second product. And I was like, wow. We're ready to go. So this was still when I had the naivety of, like, man, this is, this is hard, but it's not that hard. And then what we realized once we came out to the market was, trying to build an ad tech company when you don't own the platform is really challenging.

So all of these videos were on YouTube. In order to make it work, you really needed to own the player. And YouTube has a big platform. You can never actually own a player to make this ad tech, work. So we went back to the drawing board.

I mean, thinking about the feedback of, like, what is a problem that you actually have? And we played around with disappearing text messages. So around this time, Snapchat was getting a lot of traction. We knew from our

Jessica: [\(00:16:54\)](#) Friend from Stanford.

Yin: [\(00:16:55\)](#) Also from Stanford.

The Social Radars

Yin Wu, Co-Founder of Pulley

Released June 5, 2024

Jessica: Know Evan back then?
[\(00:16:56\)](#)

Yin: I didn't know Evan. I feel like the lesson that we took from Snapchat was I remember at the time when we saw Snapchat, they're like, they're doing images. We don't wanna do images. We're gonna do text. Now if this was back in 2011, just do images.

Do whatever is getting traction because both of these companies were so early that I think there was a bit of, like, you have to be unique. You have to create something that's really special versus the products are gonna evolve once you get it out in the world. You should do what the users are wanting versus you just wanna do something that's different. So we did this to bring texts, and it was a consumer app. And I think for anything that you're doing that is consumer based, you get a pretty early notice of, like, is this working or is this not working?

It's all or nothing. Either you go and build a highly successful company like Meta or it doesn't have as much traction. You don't have a middle ground, like, messaging app that can be venture backable. And then went back to the drawing board again when we realized this wasn't getting the traction that we needed to be able to scale and decided that, you know, what is a problem that we had? Solving a problem that we had, and we realized that my cofounder and I, hated doing laundry.

So we should do a laundry delivery startup. So around this time, you had a lot of online to offline companies. Adora, Homejoy was one of them. Uber was, I think, the hot company at the time, just getting 20% month over month growth. It seemed like there were a lot of businesses you could create that were old world businesses that you could then bring tech in, create greater efficiency, improve the margins, and scale.

The experience I had during PREM, the same day laundry delivery service, was one that made me realize, like, how difficult it is also to build something in the real world. So for Prim, for the first three months, I was the one to bring the pickup in the laundry for so many of our users. I got really good at folding T shirts.

Carolynn: For someone who hated doing laundry, and then that ends up being your full time job, that's kind of funny.
[\(00:18:56\)](#)

Yin: That was our full time job to be able to do laundry. I mean, driving around San Francisco, there's so many hills. Many times, I was like, I have no idea how many why we're doing this. And I think this is a business where, the it was a case where even the unit economics of it could have worked. We weren't scaling like crazy, but the unit economics could work, especially in cities, and you have a population of folks that are willing to pay.

The Social Radars

Yin Wu, Co-Founder of Pulley

Released June 5, 2024

But I think what we realized was that we weren't that excited about the domain that this was in. When you sign up to do a startup, you're really looking to do this for the next five, ten years. And when we zoomed down, I thought about, well, what's the path this is gonna lead? It's like, great. In five years, do we open a lot of laundry facilities and scale?

And that wasn't one where it's like, I'm waking up really excited to go to work. So we did end up then doing one last pivot where one of the challenges I had when I was doing the laundry delivery startup was that we get all these messages, when I was driving. I'm already a bad driver. So we get all these messages when I'm driving, from customers and also from Twitter. So our thinking was, like, we have a priority inbox for your emails.

Why can't you get a priority inbox for your notifications? If you can do that, then you can have less interruptions. So we ended up building a priority inbox for your lock screen, and that got acquired by Microsoft and then worked there for a few years. And then Pulley was the next step.

Jessica: [\(00:20:26\)](#) Okay. Just one quick question about summer thirteen. You went through YC again with Echo Locker, which is the lock screen. Were you using funding from the first startup, or did you officially shut that down and restart?

Yin: [\(00:20:42\)](#) We officially shut that down and restart. That was a piece of advice that, another founder had given us, which is, like, you want a clean break. When, I think the easy thing is, we raised maybe a million dollars back in 2011, and that was a lot at the time. And we had most of the funding left, but we decided to still shut it down and restart because the team, I think, at that point had my cofounder and I had gone through so many pivots that we needed the reset of going through YC again, and I think that forcing function have been a small amount of time go and build something of value. But just keeping, I think, the same cap table and the same investors on board didn't also give us that option of bringing on board the people that we thought could help us in this next stage either.

Jessica: [\(00:21:23\)](#) Okay. So clean break. So let's talk about Pulley. Talk about what inspired that.

Yin: [\(00:21:30\)](#) For Pulley, it was a case that, I think the I mean, one of the big learnings I had when I was working on prem is there's oftentimes this question of, like, what's the market that you wanna be in? What is the product you wanna build? All of these things are really important. Market especially, like a rising tide lifts all boats. I think if you had done anything in social back in 2007, it would have been valuable.

The Social Radars

Yin Wu, Co-Founder of Pulley

Released June 5, 2024

But markets also, I think, shift really quickly. It's hard to just catch a tide for a market. And one of the key things that I actually internalize is that no matter what you're building, you have to be obsessed with the user that you're building for. Because that user is a person that you reach out to talk about their problems, is the one that you should wake up excited to solve their problems for. And for me, when I thought about, like, well, who would I spend time with even if I wasn't getting paid?

It was founders. It's founders that have these crazy ideas that are trying to do a seemingly impossible task. And one of the challenges I felt like I had when I was a first time founder was so much confusion about everything from hiring to fundraising. I think that equity is actually one of the key ways in which, startups fuel their growth. You exchange equity to fundraise.

Equity is how you attract really talented people to work on your team because startups can't compete on cash comp against larger companies. It's that opportunity on a small piece of something that grows. But I think there's also a lot of mistakes that you can make when it comes to equity in the early days of a company when you don't have that knowledge that can actually really hurt the company in the future. So when I was thinking about, well, what can we build that can help founders? It seemed like a lot of the tools in the space around cap table and equity management were really building a spreadsheet that you can just record numbers in versus building out tools that can help you make better decisions around your equity.

Jessica: [\(00:23:23\)](#) Tell us and the listeners, really, what are some of those gotchas that, you know, first time founders might not know the things relating to the equity that can come and hurt you?

Yin: [\(00:23:35\)](#) Yeah. I think equity is the most value asset that your company has if the company ends up being successful. So to get the first 100 users within Pulley, I did the Collision Brother install. So this was John and Patrick Collision. What I heard was that, literally, to get the users for Stripe, they would sit down next to them, and they would onboard them to Stripe.

So I thought about doing the same thing.

Jessica: [\(00:23:55\)](#) The call us in installation.

The Social Radars

Yin Wu, Co-Founder of Pulley

Released June 5, 2024

Yin: [\(00:23:57\)](#) The call us in installation. Exactly. So for Pulley, we wanna do the same thing with these users. I knew that demo day was coming up. Wanted to sit next to all these founders, get them onboard of Pulley so we can manage your cap table and prepare them for demo day.

What are some of those things? The basic question this is my pitch. The question I will lead with was, how much of the company do you own? And it was actually really surprising how many folks didn't know the answer to that question, or they were off significantly.

Jessica: [\(00:24:27\)](#) Oh, wow. Right.

Yin: [\(00:24:28\)](#) And it could anything be by, the raise of friends and family round before YC. Or

Jessica: [\(00:24:34\)](#) I was I was just gonna say this is a pretty early stage, so you should have a pretty firm handle on how much you own.

Yin: [\(00:24:42\)](#) It's oftentimes friends and family around or if they raise money from other accelerators prior to YC with complex term sheets or advisers oftentimes can also get a lot of equity within the company. So when I say they're off by, like, a significant amount, it's like if you have three cofounders and you have advisers and you had a friends and family around, maybe in your mind, you would think, like, great. Three cofounders, a 100% divided by three. I own 33% of the company. In reality, that could be closer to, like, 20, which is a pretty significant difference because then in each round, you're giving up more of the company.

So Yeah. Like, some of the mistakes is that early on, if you give up too much of the company and you still need to raise that seed, you still need to raise that a, then investors can often look at this and sometimes think, do you actually own enough of the company as a founder to still be motivated to grow the company on the other side? Or I think having misconceptions because the amount that you give up in every round of funding differs for the industry. Battletech tends to raise heavily early on. SaaS companies raise at different multiples than consumer companies.

The Social Radars

Yin Wu, Co-Founder of Pulley

Released June 5, 2024

So I think also having misconceptions of what type of funding they'll need to take in subsequent rounds in order to be able to hit their goals. And then I would say, like, another this isn't so much a mistake, but, like, another thing I found that founders often had challenge with was really selling what the value of the equity could be to people that wanted to join the team. They would present this value as what is the value of the company today. And, I mean, most seed stage companies are not worth that much by definition today because the company is still really early. So if you're positioning this as a percentage of a not very large number, then your prospective candidates are looking at this as like, wait.

Why would I give up the salary that I have at Google, Facebook, Microsoft today to join your startup when the story should be? And this is where we are today. If we hit our milestones, this is how the company can grow. And imagine what your ownership stake could be worth. So that's why Pulley built out, like, a really great offer letter tool so that we can walk founders through that process and get them on board.

Jessica: [\(00:26:48\)](#) I love this. I just need to interject. You have a very wrapped audience here between Carolyn, who's a corporate lawyer, and me, who's a wannabe lawyer. I love talking about this because it does sort of, like, feel like monopoly money to new founders. And, oh, sure.

You wanna be adviser? I'll I'll give you 3%. And they don't realize the implications of that.

Carolynn: [\(00:27:11\)](#) Oh, I have so many anecdotes about founders not realizing how valuable equity is and just handing it out like candy to anybody who will help them even marginally. And you're like, they give 2% to people, and you're like, what did this person do for you? Oh, they looked at my business plan.

Jessica: [\(00:27:29\)](#) Oh, no. You're like, oh, that's so Killing me, Carolyn. Exactly.

Yin: [\(00:27:33\)](#) So, like, on the fundraising front because, Carolyn, like, what I got was, I remember, like, YC helped me through fundraising, and I got a spreadsheet template that had iterative calculations I needed to turn on in Excel. And you're nodding because I'm like, I don't even know what iterative calculations are. And I was like, we're I spent, like, fifteen minutes on YouTube looking for the dongle to be able to turn this on, like and shut it down and open up Excel again to make it work. But, like, because some of these rounds are complex, it I say this is more like that's it's it shouldn't be this hard to just know if I fundraise on these terms, if I give away, pro rata, if I give away MFNs, if I give away some of these clauses, what does it mean in the future when I raise my next round? How much do I actually have to give away?

The Social Radars

Yin Wu, Co-Founder of Pulley

Released June 5, 2024

How big should my employee equity plan be? And my perspective is actually we you should create a fairly big employee equity plan so that you can incentivize people to join your team. But I think it's hard to know how to make some of those decisions when it feels like you're flying in the dark and you don't have the tooling available. And the only option is spend a lot of money working with a lawyer to understand something.

Carolynn: [\(00:28:35\)](#) Yeah. And by the way, lawyers aren't so great at the math part of this. So they're great at giving you the advice, like, looking at the market and saying, like, this is what we see the size of employee pools. Lawyers are great for that. But, like, when it comes to manipulating spreadsheets, there's, like, a class of lawyers who are good at that, and then they're, like, a bigger class of lawyers who are not good at it.

So, yeah, having those tools are amazing.

Jessica: [\(00:28:56\)](#) One thing you had said on a podcast that I listened to and I know this, but it was it's nice to just say it explicitly. When you think about equity, there's the economic sort of upside that you want people to understand and future employees to understand. But for you also, there's control, like board control, voting rights, liquidation preferences. How is that gonna impact things? Like, I don't know how to answer that question.

I'd go straight to Carolynn to ask.

Yin: [\(00:29:26\)](#) It's actually really impactful because your board is your boss as a founder. You're choosing who you want to work with for this the growth of the company. Taking a step back, when things are going well, no problems. Everyone is really excited. If your company is growing, you're going to have great relationships with every single one of your board members.

It's the cases when things are not going as well where you wanna make sure that you've chosen board members and that you have the control within your company so that you can work with them to be able to get to a good resolution as well. I think especially in, I mean, in the last, like, maybe five years, 2021, 2020 era, it seemed like every company was almost guaranteed that next round of funding, and valuations were crazy high. That raising a series, you only needed to show, like, seed stage progress to raise a series c. And that sense changed significantly. A lot of companies went public via direct listings, via SPACs, and also via traditional IPOs.

The Social Radars

Yin Wu, Co-Founder of Pulley

Released June 5, 2024

And so many of the valuations for these companies have fallen seventy, eighty percent since. So I think there's been a reset on the market. And it's in these down markets when things are not going as well where having the control of your company can also make a huge difference. I also recognize, I think, on the flip side is when you hear stories like WeWork or Theranos. Like, those are cases where the founder likely had too much control over the company, didn't have the right amount of oversight.

And I think, ultimately, it's like it's not so much a balance, but more like, for the investor, it's like betting on the founder that they believe won't go too far on the other side. I think for the founder, it's also finding the investor that they really wanna work with and have a good partnership with as well.

Carolynn:
[\(00:31:23\)](#)

Did you have some of these bad experiences yourself either with your prior startups or with Pulley that you are bringing to bear here, or is it that you've now heard so many other founder stories?

Yin:
[\(00:31:34\)](#)

I would say, generally, it's positive founder stories, especially when you're thinking about, like, many of the tier one investors that for them, the reputation to protect, I think, does matter. I feel like one of the things that is really different about Silicon Valley and the Bay Area is that people genuinely wanna help. And I think the reason they wanna help is that it's not just purely altruistic, but because the next star that becomes really successful can happen in the span of a very short amount of time. That's not the case in most industries. You don't just suddenly build a global, like, real estate empire in the span of a year or a couple of months.

But within tech, you can't have a startup that goes from nothing to building something really impactful within a short amount of time. I feel like LLMs and GBT is one of those cases. Last year, none of us were talking about OpenAI. And now it's the case that it is the it was the most searched Wikipedia article, I think, in 2023, and it only came on the market in November. So, like, that trajectory is so quick that it's in your rational interest to make sure you're building positive relationships.

And I think overwhelmingly investors are positive. But I do think in the case when things aren't going well, everyone also rationally needs to look at their own incentives as well to understand how do I protect my fund? How do I protect, my company? And I think that's when for us at Pulley, try to think about connecting with founders that are two to three stages ahead of us to understand, like, what do you wish that you knew when you were our stage? What would you have done differently to get some of those, to get some of that advice?

The Social Radars

Yin Wu, Co-Founder of Pulley

Released June 5, 2024

Jessica: Can I ask you to talk about Pulley in the context of Carta, which was the big player in the space? Like, where had they left room? Where was the gap that you said we can be better?
[\(00:33:08\)](#)

Yin: That's one of the questions I get asked, the most, and I love talking about it because I wanna encourage folks to also, like, look at spaces where it seems like there's a big incumbent. Because it feels like there's there's I would say there's twofold. One is if there's no competitor in your space, likely the market is too small if there's, like, really just no one that's doing this. Second, I would say is, like, if there is a competitor, there's competitors in every space. If you look at Salesforce and CRMs, I feel like there's 100 of different product offerings, and it's more how can you differentiate.
[\(00:33:22\)](#)

So Yeah. When Pulley initially came on, Carta was a tool that I'd even previously, used and was familiar with. And I talked to a bunch of founders and asked, what was your experience using Carta? And for many of them, it was like, well, I think it's the only option. I don't think I had a choice.

Well, how do you like using the product? You know, it's okay, but it really still doesn't help me understand how to explain the value of equity to everyone that's on my team. It doesn't really help me game plan for that next fundraise. And I remember also, I think, the story about Stripe. So Stripe led Pulley's series a as well, where Stripe wasn't the first payment processor.

But when you go and talk to developers about using other payment processors, like, yeah. This took a week or more to be able to get onboarded. And with Stripe, I could use it right away. For me, it was the case that I had a thesis on how we could build a better product on the market.

Jessica: There's always room to improve. I mean, look at Google. Exactly. Search engines before Google. I mean, so there's that's why I wanted to know where they had left room.
[\(00:34:43\)](#)

Yin: For us, I think one of the gaps that we saw in the market was, Carto was oftentimes for late stage companies, was for paralegal stock plan administrators. And if you build the tools for stock plan administrators versus building for founders, it's a very different product. So for us, we thought about, well, how do we actually build a simpler product that can work for founders directly and then find a way to be able to scale within the z scale? But in some ways, like, directly countering the complexity that they needed to be able to support by building for early stage founders when Pulley first came out. And we've since been able to add more so products so can also support many of these same users.
[\(00:34:54\)](#)

The Social Radars

Yin Wu, Co-Founder of Pulley

Released June 5, 2024

Carolynn: [\(00:35:32\)](#) Quick anecdote. I met with Henry Ward in the very early days of him starting Carta, and he was asking about it, and I said, let's ask this paralegal. I'm still friends with that at Wilson. And I brought her in. I was like, do think of this?

So, literally, he it was about, like, what a paralegal uses and how would a paralegal use it, which, by way, nothing wrong with that. Exactly. Just a different to your point, it was just that was not the focus that you were gonna anyway.

Jessica: [\(00:36:01\)](#) Oh, that's so funny. When was that, Carolynn?

Carolynn: [\(00:36:03\)](#) I'm trying to even remember if it was when I was still at the firm or if I had was working at YC.

Jessica: [\(00:36:08\)](#) It's so long ago, you don't even remember.

Yin: [\(00:36:10\)](#) It's a

Carolynn: [\(00:36:10\)](#) Million years ago.

Jessica: [\(00:36:11\)](#) I have a little anecdote. In 2021, Paul basically told off Carta on Twitter. He said, quote, if you put your cap table on Carta, they will spam your investors. So he was very annoyed with them. I want you to tell us about the weekend last January where suddenly you saw a big opportunity.

Yin: [\(00:36:34\)](#) Paul's email was, three years, predicting the future. I think that for us at Pulley, we've always been focused on building for founders and operators in the company themselves. And I think that that does matter. Because in some ways, I would say, like, the user that you're building for, you should stay hyper focused on building for them. Like, by analogy, one case I think about is Amazon versus eBay.

Because back in 2005, Amazon and eBay had the same market cap, both, I think, \$40,000,000,000 companies. Now one is a trillion dollar plus company. And I think it's the case for Amazon, like, from the first shareholder letter that Bezos wrote. It's always been extremely customer centric. It's, every decision they make is how can we do what's best for the customer from doing Amazon Prime, which was highly unprofitable for a long time, but it's a better thing for the customer.

The Social Radars

Yin Wu, Co-Founder of Pulley

Released June 5, 2024

Versus eBay, I think, in the early days has always been maybe more seller focused. How do we build out better inventory management? And the split in, like, who is your primary customer, I think, ends up mattering. For Pulley, our primary customer is always gonna be the founder and the operators within the companies. What happened within January was there was a message posted by the founder of a startup that said that Carta had been reaching out to some of their investors asking to sell their shares when the company was not looking to do a secondary.

The company was actively not looking for that to happen. It led to a lot of further online because, going back to your equity is so critical. You wanna control who owns equity within your company. And Yes. You're not expecting that maybe a software tool that you're using to try to sell equity within your company without your consent.

I think that secondaries actually make a lot of sense. If a company's been private for eight, nine years, there could be folks that were part of your early journey that needs to turn something illiquid into something liquid and put a down payment on a house. Great. Secondaries can help you do that. But I think the key part is that it has to be with the company's consent versus doing this in a way that they're not participating in it.

Jessica: Oh, you're too diplomatic. They went out and did this behind the founder's back.
[\(00:38:41\)](#)

Yin: I know.
[\(00:38:46\)](#)

Jessica: So everyone's pissed off at Carta on Twitter. This is on, like, a Sunday. What did you do?
[\(00:38:46\)](#)

Yin: What we did was we said that anyone that wants to switch from Carta, you can switch to Pulley, and, we'll discount whatever switching fee. Because for, for many of these companies, they're on a year long contract and thought, man, it's so difficult to switch from another company. We can actually switch you over it nearly instantly. Our team takes care of everything, white glove onboarding. So we wanted to remove that friction, first of all.

I think there's been a lot of things that's also said from some of the competitors that make it seem like switching is impossible. Other things that we've found or sold us is like, great. Our competitor is going to cancel all of your shares when you switch. No tool should have the right to cancel your shares if you switch to another tool. So it was all also a lot of education that we had to provide saying that's actually not the case.

The Social Radars

Yin Wu, Co-Founder of Pulley

Released June 5, 2024

You can switch to another

Carolynn: [\(00:39:37\)](#) A thing. You like, a software can't cancel shares you've issued. That's absurd. It's, like, make it breaks my heart that people think that's a thing.

Yin: [\(00:39:45\)](#) I think it's, that that lock in that they also feel, and this is not something that's, like, positive for that founder. So we ended up getting, I think, 10 x the number of demos that we typically do since it's happened, and that's also sustained. Because I think previously, it was a case that when you look at what's available on the market, it's like, great. Maybe I'll just go with the incumbent, or there's no reason to switch. Now there's a reason to switch.

Now there's a reason to consider alternatives. And when we first started, I would say I didn't think that, I guess, like, privacy, was going to be a differentiator or but it matters. We're not gonna spam your investors. We're not gonna do it in a way that is behind the founder's back. We wanna be able to support them during that journey.

That's why Pulley exists in the first place.

Carolynn: [\(00:40:27\)](#) Before the incident, did you spend a lot of time with your team sort of trying to compete with Carta on price?

Yin: [\(00:40:34\)](#) I think that price is one of the factors, and it still comes up, I think, in conversations, but increasingly less so. Because I think from a product perspective, we're also starting to differentiate. Like, going back to, like, who is Pulley useful for, I like, I still think that maybe contrary to popular belief that you should engage with a lawyer for pivotal moments within a startup's life. This is being, penny wise and pound foolish if you decide not gonna work with a lawyer at all. When you're when you're raising an equity round and deciding who is gonna be on your board and what your board controls are, absolutely go and talk to a lawyer.

That's not something that you should say, like, nope. I'm just gonna Google it and then do what's on there. But I think for us, it was the, case that, like, increasingly, we're finding that companies are reaching out to Pulley because of the tools that we do have, like, being able to issue SACE compliantly on Pulley is far easier than on card and other tools. It's also actually really common when you're on other tools where only the paralegal has access to your CAF table, and, actually, the founding and executive team don't have access to the CAF table. It's one of the deltas I've seen that's actually been really surprising.

The Social Radars

Yin Wu, Co-Founder of Pulley

Released June 5, 2024

So when companies are going to cancel their accounts, they have to go through the lawyers to do it versus for them to be able to even see what's on the cap table. But, increasingly, it's been the case that I think people are aware that equity is important. They wanna be able to have a tool that can support them there, and a lot of founders, I think, are really looking for better alternatives.

Jessica: [\(00:41:52\)](#) So on this day where people were disgruntled, you said, hey. We can switch you instantly, very easily, and Pulley will pay, you know, the fee that you incurred by bailing out on your contract early.

Yin: [\(00:42:09\)](#) The whole goal there was how do you make it as easy as possible for companies to be able to switch. And I feel like we got some, maybe, almost, like, advanced notice on how do you handle a situation like that, given that this year has been crazy with Silicon Valley Bank going under, First Republic Bank going under. These are, like, once in a lifetime events that happened in the span of six months. So, seeing how I think some, other startups like Mercury Bank, like Brex handled, I think, a crisis situation like that was also, like, good preparation for us to understand how do you take not so much take advantage, but how do make the most of that moment, really?

Carolynn: [\(00:42:46\)](#) You know what occurs to me is that to the extent that Pulley or Carta or both of you were using that it's so sticky Yeah. As part of your pitch. You know? And then you're like, oh, no. We can change you instantly.

That does feel like a little bit of a double edged sword. Right? Because it's like, if they can switch from Carta instantly, they can probably also switch from Pulley instantly. Not that they would want to, but, like, that just seems like you have to be careful how you choose to do, you know, those kinds of decisions.

Yin: [\(00:43:12\)](#) And I think that's where, I mean, this was actually, like, our focus when we initially decided to go after startups. I can't make the pitch that it is so easy to switch from another platform and to say that one of the biggest strength we have is the lock in. Because we do see that lock in on the Pulley side. If you win all the startups, I mean, Pulley today wins 70 to 80% of each YC batch, and the remaining 20% is because there's a lot of international companies, within YC that today we can't serve as well. But we're able to, I think, get so many of these companies on board and then really grow with them is, is a large part of our strategy.

Jessica: [\(00:43:47\)](#) What's one of the features that Pulley offers that, like, has surprised you how much people love it? Like, you're like, what because you had said, I never thought privacy would be a big factor when I first started this. Like, what's a big feature that you're like, wow. I didn't think this would be so impactful.

The Social Radars

Yin Wu, Co-Founder of Pulley

Released June 5, 2024

Yin:
[\(00:44:04\)](#) I think in terms of act the features, I would say, like, the offer letter tool on the fundraising model or that we built are two of the ones that's been, like, most impactful. Literally sitting down next to a founder and say, yeah. I so you wanna raise a 10,000,000 post money safe, and you wanna give, pro rata to these set of investors. Just plug in the numbers, and this is what it means. And you see their eyes light up because they're like, oh, okay.

Got it. So this is what it actually means for my ownership and how much dilution I'm gonna take. I feel more prepared to talk my team through that. In terms of, like, something I didn't expect, I do think that trust aspect was one thing I, I didn't expect to matter as much. Because you don't go into building a startup and be like, trust is one of the things I'm gonna differentiate on.

But when it comes to something as sensitive as a cap table, like, as your equity, Trust does actually matter. And I think about this, like, with great. Where do I want to keep all the information around who owns equity within my company? It's like, I wanna pick a partner that I feel I can I can trust and also can grow with us too?

Carolynn:
[\(00:45:02\)](#) Well, it sounds like you not only first, had to educate founders about how important it was to have this control and to have this visibility. And then you said, oh, and by the way, like, you can trust us with all this. So that that seems pretty powerful.

Yin:
[\(00:45:17\)](#) I think it's an you've both seen this where there's so many things that you have to deal with when you're an early stage founder. Finding product market fit is probably the most important thing. You're not thinking about the value of that equity yet because it can be a ten year journey. Like, throughout the lifetime of a company, it gets more and more liquid. The later stage of company is if it's continuing to do well.

You're not thinking about what is return, but the downside of taking that mindset is, like, if your company actually does well, some of the decisions you made early on are actually critical for you to realize some of the gains. And, what we're saying is not like, yes. You should spend your full time thinking about your cap table and equity, but rather how do we build a tool so that you get the context information that you need so that you can feel, protected as a founder so you can focus on the most important things, finding product market fit, going, getting more customers, going and scaling as well.

Jessica:
[\(00:46:06\)](#) That's a perfect way to describe it. That's awesome. I'm I'm so happy for you, and I'm so happy. It's like third time's the charm, it sounds like. I wanna switch gears quickly because you we have a unique person here, Carolynn.

The Social Radars

Yin Wu, Co-Founder of Pulley

Released June 5, 2024

This is a female founder who's been doing three different startups from 2011 to today, and I feel like a lot has changed in that time frame. And so I have questions for you that I wanna ask about changes that you've witnessed. One of them, is fundraising easier, or is it just rounding error compared to the overall climate? And, like, do investors have different attitudes toward female founders, do you think?

Yin:

[\(00:46:54\)](#)

No. Sorry to embarrass you again, Jessica, but, like, I think that my experience as a founder is different than for others. I think the macro is, I think there should've I want there to be more female founders because I think that if you're able to have more female founders and you have more people building for problems that everyone in the world has. The reason I say sorry to embarrass you is because, like, my experience is different because you were, like, one of the first investors I met. Came from Kentucky, didn't know any investors, and you at YC was, like, one of the first investors.

So it didn't actually that thought didn't cross my mind of thinking of, like, oh, it must be different to raise as a female founder and realize, like, since then, it is actually, I think, at times different. I feel like the pragmatic approach I would give is, like, you can try to change all of Silicon Valley, or you can also adapt, I think, yourself in some ways to meet the market where it is. I've had very positive experiences with investors and some that are really, I think, trying to advocate for more female founders as well. Like, going back to it's so hard to find product market fit already. So at the same time, to find market product market fit and change the perception of investors is, like, you're trying to push two giant boulders uphill.

It is almost impossible. One of the lessons I did learn early on, I think it was during one of the pitch sessions maybe with you, and Paul, Jessica, was around, you need to pitch, like, what your company is going to be in the future, not what it is literally today, which is feedback that I then I think I try to pass on to female founders today where so many times it feels like they're pitching to this is what I've built. This is what the product can do. And in some ways, that doesn't matter. You are you have to sell the mission of what it can come.

And going back to, like, yes, like, can there be, like, all this, subconscious bias against women where, like, if you're pitching what it is versus, like, what it could become, and then if you're competing against other founders that are pitching, like, what it could become, you're coming in as a disadvantage. Should we train all investors to be able to recognize and see that? All yes. But, like, I think at the same time, there's also, I think there's, like, there's also practicality if you need to get money in the door. So how should you earn yourself to be able to do that in the most effective way too?

The Social Radars

Yin Wu, Co-Founder of Pulley

Released June 5, 2024

Carolynn: It's a confidence gap. That's what that is.
[\(00:49:10\)](#)

Jessica: Yeah. Yeah. Do you feel like you have more peers these days, like, more female founders
[\(00:49:13\)](#)

Carolynn: Yeah.
[\(00:49:20\)](#)

Jessica: In general?
[\(00:49:21\)](#)

Yin: You know, I it's, I mean, like, I look up to folks like Adora and seeing how she's, like, growing company. Like, we at clipboard and, otherwise, see company and, seeing how, like, they've scaled their teams. And I would say, like, maybe the other part that's also changed for myself is there's, like, being a female founder, and there's also being a parent. When you just had your son, I remember, like, going to, an office, next to Coupa Cafe in Downtown Palo Alto, and then it was like he was running around in the background, and then, like, we were having just normal office hours. So I one of the changes for me was actually probably being a parent had also a lot of influence.

So we did YC winter twenty, and this was a pandemic batch. And it quickly escalated from, I don't think COVID is an issue. We'll be fine. We're still gonna do in person demo day to, oh, this is, like, a shutdown across all of the Bay Area. We definitely cannot do anything in person.

And if we had had demoed it in person, I would have been eight months pregnant. This was with my first child. So, I was like the I was thinking it was like, logistically, it's like, hope it'll work, but then we ended up being remote, which logistically is a lot easier. But the reason I share that is I think, like, being a parent is hard to get the timing right too between, like, having a kid running your startup and trying to balance all of that. And, like, now with two kids, it's like, it's a lot harder, I think, to balance the time that you have.

And we're lucky we have a lot of support, but you just gotta find a way too.

Jessica: Yeah. I that is a problem I'm very interested in how people solve because Yeah. I had two kids too. How old are your kids now?
[\(00:50:53\)](#)

Yin: Now they are 10 and, now almost four. Yeah.
[\(00:51:00\)](#)

The Social Radars

Yin Wu, Co-Founder of Pulley

Released June 5, 2024

Jessica: And Carolynn has two kids, so we're we've all been there. But you are definitely in the hunkering down zone. 10.
[\(00:51:05\)](#)

Carolynn: You have a you have a baby.
[\(00:51:14\)](#)

Yin: I have a baby. She's so cute.
[\(00:51:15\)](#)

Carolynn: I bet
[\(00:51:17\)](#)

Jessica: She is.
[\(00:51:17\)](#)

Yin: John sent us onesies, for, for our baby girl.
[\(00:51:19\)](#)

Carolynn: He loves sending the y the YC onesies to the all the YC newborns.
[\(00:51:24\)](#)

Jessica: Oh, I'm so happy. I hope to meet them sometime. I would love that.
[\(00:51:30\)](#)

Yin: Yeah. One thing I maybe I'd share on, like, the parents bit is, like, I would also, like I definitely wanna encourage, like, more female founders to find a path in. Like, it's that if I had an answer to the confidence gap or the way that they pitch idea, I would love to help with that and try to do as much, like, mentoring as I can. But I think it's important to, like, try. I think, being a founder sometimes feels like you're just being, like, punched in the face on daily basis, but that also is what makes you really resilient on the other side.
[\(00:51:35\)](#)

Carolynn: That's true.
[\(00:52:05\)](#)

The Social Radars

Yin Wu, Co-Founder of Pulley

Released June 5, 2024

- Yin:
[\(00:52:06\)](#) And I think that it can be one of the most egalitarian things you do because, ultimately, customers don't care who I am. I could be a dog on the other side. And if I'm solving their problem, that's what they actually care about. And I think you could actually make the case if you're working in a large tech company that politics matters far more than creating something of value. So, like, even if you're scared, like, jump into the fray and give it a try.
- I think on the parent part, just biologically, the time in which sometimes you have kids is also when you're probably at peak of your career. It's definitely hard, but I think it's if you if you have an idea on a mission that you're really excited about, try it. Elon has a bit that he says where he thinks that founders have to have some form of desperation because it's so hard to do this. You gotta be desperate in some way. This is a lot of Gil on his blog.
- Whether it's desperation that you wanna advance your career faster than the traditional path allows, whether it's desperation to create some value in the world that you're not seeing anyone trying to do, like, some sort of desperation that propels you through some of the harder parts. So I feel like that's there for you, then you definitely should try it.
- Jessica:
[\(00:53:15\)](#) And you know how you can be the best mentor ever is make Pulley huge.
- Yin:
[\(00:53:21\)](#) We're doing our we're gonna get there.
- Jessica:
[\(00:53:25\)](#) You definitely are doing all the right things, and I'm so happy for you. And, I look forward to seeing you in person. I feel like it's been way too long since I've seen you.
- Yin:
[\(00:53:37\)](#) Would love to see you.
- Jessica:
[\(00:53:38\)](#) So thanks again for coming on and sharing your story. I think it's fascinating, and, can't wait till this episode comes out. Yeah. Me too. Thanks for coming, Yin.
- Yin:
[\(00:53:48\)](#) This was so fun. Thank you guys so much for having me.
- Jessica:
[\(00:53:50\)](#) Bye, Yin. Bye. I loved catching up

The Social Radars

Yin Wu, Co-Founder of Pulley

Released June 5, 2024

- Carolynn: [\(00:53:55\)](#) With Yin. Yeah. It's great to say you know, I had actually, forgotten about Prim, but I remember I remember talking about Prim a bunch. And was like, oh, man. Laundry service, like, the Founder community is gonna love that.
- And but, yeah, it ended up like her story about it. It's hard. Those online offline things are really hard.
- Jessica: [\(00:54:12\)](#) Well, she had half of it right. She was making something that she wanted. Yeah. But the other half was she wasn't actually interested in what she want, you know, in that particular thing she wanted.
- Carolynn: [\(00:54:22\)](#) Yeah. Which is good to realize, and then move on to something that you're more passionate about. Holy, just sounds like it's doing great stuff.
- Jessica: [\(00:54:30\)](#) It definitely is. I love that she's building this very important, like, product for the founders. What I love about it is that you don't wanna be thinking about your equity composition and all the legal stuff, but you wanna understand it when it's time to come to make an important decision based on that understanding. You know?
- Carolynn: [\(00:54:50\)](#) Well, it's funny to yes. All that's really important, but also just I guess I had sort of not remembered how abstracted away it was from founders for so long. Absolutely, our pair like, the law firms are typically the transfer agent. Right? Like, we are the ones that keep you right?
- So and paralegals do this and do it really well. But, like, the idea that as a founder, you can't access it all the time, anytime, I just sort of forgotten that that's the way it used to be. And so that alone is huge.
- Jessica: [\(00:55:21\)](#) That seems broken, Carolynn. Well, it
- Carolynn: [\(00:55:23\)](#) It didn't feel broken. I guess maybe founders were it's kinda like she was saying, like, they are so focused on product market fit. Are they always really you know, they're not really thinking about their equity, but it's so critical for recruiting and to be able to understand it and explain it. We used to have this thing where it's like all the firms did this, and I think this is still true to this day. Like, you authorize tons and tons of shares so that when you give the grants, they're big numbers because big numbers impress people.

The Social Radars

Yin Wu, Co-Founder of Pulley

Released June 5, 2024

But I think people are too savvy now from founders to employees. And you have to be able to explain, you know, how much you're getting in a percentage basis. That's kind of obvious. But also, like, the value of what you're getting and the fact that Pulley comes in and helps founders with that, I think that is an amazing product feature.

Jessica: [\(00:56:09\)](#) I totally agree with you. And I think for the founders that go through YC, they're lucky in that all they do is, you know, hit send an email to the legal team at YC who answers their questions, you know, really quickly. But for founders doing it on their own, I think this pulley is like an invaluable service for them to help them understand. Because you don't wanna spend a thousand dollars on a lawyer for this.

Carolynn: [\(00:56:36\)](#) You know what? Lawyers hate having to bill for those kinds of things too. I will just tell you, like, you know but, like, that's how what you have to do. And so it's that that's the part that's probably broken is.

Jessica: [\(00:56:47\)](#) The fifteen minute, thirty minute

Carolynn: [\(00:56:49\)](#) Client calls. Like, the expensive call where the lawyer just wants to help, but they have to account for that time. Like Yeah. You know? Anyway, that's a that's a sort of a tangent, but it's great that that this kind of

Jessica: [\(00:57:00\)](#) Thing is built and it's accessible. And it goes to show you if you build a better mousetrap

Yin: [\(00:57:08\)](#) Yeah.

Jessica: [\(00:57:08\)](#) You know, you can do well. Like, I mean, what I was thinking when she was telling her story was Dropbox. When they built file syncing and file sharing, there were lots of other companies doing that, but they didn't work that well. Yeah. And Dropbox made it easy, and

Carolynn: [\(00:57:24\)](#) It just worked. The many times she touched on competition is interesting. You know, she didn't do the Snapchat thing because it felt like that someone had already grabbed that space. And Yeah. Then her learning from that was like, it's okay to start competitors.

Just figure out your angle. Figure out your wedge. Be a little bit different. Be better.

Jessica: [\(00:57:43\)](#) Well, I think this is gonna be a great episode, and I had a lot of fun getting down and dirty with the cap table management.

The Social Radars

Yin Wu, Co-Founder of Pulley

Released June 5, 2024

Carolynn: That wasn't that dirty. I know. I know. Cap tables. But you know what?
[\(00:57:51\)](#)

That is super important. Like, we can we can laugh, but, they're very, very, very important.

Jessica: Alright, I will talk to you very soon. Okay. See you next time. Okay. Bye.
[\(00:58:02\)](#)